



To the Board of Education
Iowa City Community School District
Iowa City, Iowa

In connection with our audit of the financial statements of the Iowa City Community School District as of and for the year ended June 30, 2024, we identified deficiencies in internal control over financial reporting (control deficiencies).

A control deficiency exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A deficiency in design exists when a control necessary to meet the control objective is missing, or when an existing control is not properly designed so that even if the control operates as designed, the control objective would not be met. A deficiency in operation exists when a properly designed control does not operate as designed or when the person performing the control does not possess the necessary authority or qualifications to perform the control effectively.

A material weakness is a deficiency or a combination of deficiencies in internal control, such that there is a reasonable possibility that a material misstatement of the financial statements will not be prevented or detected and corrected on a timely basis.

A significant deficiency is a deficiency, or combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Following is a description of identified control deficiencies that we determined did not constitute significant deficiencies or material weaknesses:

Disbursements

- 1) The position responsible for check processing is currently the same position for clearing checks as part of the bank reconciliation process. We recommend that access to the check clearing process be moved to another position.
- 2) Within the requisition process in Weblink, requisitions greater than budget capacity are reflected in the approval screen. However, these items can be approved by the supervisor. When a requisition will exceed the budget line item, the supervisor should assure that their cumulative respective budget line items have sufficient budget authority for the item being purchased and provide documentation within the Weblink system to notify the subsequent approvals.
- 3) Through the testing of twenty-five randomly selected cash disbursements that occurred during the fiscal year, we noted nine instances in which there was no purchase order prior to purchasing the good or service. In addition, we noted four selections which were not included on the bill listing presented to the Board for review and approval. We recommend the District require all employees to obtain proper documented approval through the purchase order process prior to making purchases on behalf of the District including credit card transactions. In addition, we recommend a review process be implemented to ensure all payments issued are listed on the bill listing presented to the Board for review and approval.

- 4) We selected twenty-five transactions to test travel expenditures and reimbursements. The travel policy for the District requires the pre-approval for out of district travel. There were seven transactions that did not have a pre-approval form. We recommend that written approvals are required to ensure that board policy is followed. In addition, there was one transaction for a hotel on a credit card that did not have a receipt. Board policy requires receipts for all credit card purchases.
- 5) Through the testing of forty-two randomly selected transactions related to the ESSER federal program, we noted seventeen of these selections were coded to the incorrect object expense code based on the nature of the transactions. The appropriate department head should be reviewing these expenses and their account codings to ensure that they are being recorded accurately.

Payroll

- 1) There is currently not a reconciliation between the Human Resources and the Payroll Departments to ensure all contracts have been properly entered into Software Unlimited. This process would provide an additional compensating control over payroll and help to ensure the accuracy and completeness of the payroll master file.
- 2) The Form I-9 Employment Eligibility Verification is currently maintained by the Payroll Department. We recommend that the I-9 be maintained as proper hiring documentation within the Human Resources Department.
- 3) The Human Resources Department must maintain employee information in three separate systems and reflect any changes in employment within each of the systems. The Payroll Department is also entering any employment changes in the payroll system. Currently the four systems are not linked to share data. We recommend that the Human Resources Department and the Payroll Department investigate any possible ways to transfer the data electronically to avoid duplication of work and help minimize the risk of errors.
- 4) During payroll transaction testing, 5 out of 25 selections had contracts processed after the date when the contract was supposed to be returned to the Board signed by the employee. The employee never signed the contract. HR processes the contract later after the employee has been paid and is believed to be working in accordance with their contract. We recommend that once the employee has been approved for hire by the Board, they formally sign their contract documenting their agreement and understanding.
- 5) Through our testing, we noted one payroll transaction where the fiscal year 2023 rate was being used to calculate overtime for an employee who earned overtime in fiscal year 2024.
- 6) When an employee works over 4.5 hours, they are required to take a 30-minute lunch break. The timesheet will not reflect this break until it is exported to the next system to generate payroll. This leaves a discrepancy between hours worked on a time sheet and hours paid reflected on the check stub. The software also does not automatically apply this break when exported which creates potential for errors. We recommend the District investigate if the system can be programmed to properly calculate the lunch break.

Receipts

1) Nutrition Receipts

- a. Prices for meals and ala carte purchases are manually entered by a position within the Nutrition Department. There is no formal review of the amounts entered or edited. To reduce risk of error, we recommend the Nutrition Director formally document and review the price list.
- b. The District Business Office does not obtain reports from the Nutrition point of sale system to reconcile total sales and meal account balances to the District's general ledger system. Monthly and annually, the Business Office should be provided point of sale reports for the Business Office to ensure Nutrition fund revenues and the unearned meal account liability accounts are properly recorded.
- c. We selected four months to tie the Nutrition Sales Spreadsheet to the system generated Consolidated Sales Report noting variances ranging from \$202 to \$41,076. The nutrition department should reconcile the system generated report to the Nutrition Sales Spreadsheet and maintain documentation to support any variances.

2) Activities and Athletics Receipts

- a. The District uses Bound as the online ticketing system. Bound provides the ticket revenue as a check to the District Athletic Directors. Since ticketing revenue is not a routine revenue source, we recommend the District have gate receipts from the Bound ticketing system be electronically deposited into the District's bank account as well as any significant sponsors who offer an electronic deposit option. Alternatively, an employee in the Business Office or the main office of each school building should be monitoring activities and athletic events and whether a deposit has been timely provided.
- b. The District should consider using the system My School Bucks (MSB) for all receipts at the school buildings including entering fundraisers as an MSB receipt; printing a report at the end of the day from MSB which would be tied to deposit. The District could then reconcile MSB to Software Unlimited. MSB has all account codes setup within the system.

3) Administration Building Receipts

- a. A position in the Business Office has access to cash and checks, posts the receipt to the general ledger and prepares and deposits the receipts. Ideally, the position posting the transaction is segregated from access to cash and checks. However, the District has implemented a key compensating control of the Business Support Specialist, who is segregated from access and posting, monitors accounts receivable and follows up on unpaid amounts. We encourage the District to continue this key control and stress the importance of this monitoring process. In addition, we encourage the District to consider further segregation for receipts not included in the invoicing process.

Journal Entries

The District uses a shared excel file to track journal entries. Each entry lists the date prepared, reviewed and posted. We recommend the District implement a formal journal entry monitoring process. After each entry is prepared and posted, the supervisor of the employee posting the entry should formally approve the entry.

Technology

- 1) The administrator assigning user access levels within the District's general ledger software is an employee in the Business Office. We recommend the software administrator role be moved to an employee in the Information Technology Department to improve internal controls over general ledger access.
- 2) The District appears to have multiple software packages that are underutilized and do not integrate and are inconsistent amongst buildings and departments which is driving manual processes. We recommend the District consider completing a technology review and implement training to fully utilize the District's software.

Stale Dated Outstanding Checks

The District has outstanding checks dated from fiscal year 2004 to fiscal year 2023 that have not yet cleared the bank reconciliation. We recommend the District investigate the outstanding checks and determine compliance with state escheat laws or if checks need to be voided and reissued.

Child Nutrition Cluster Program

Through the testing of twenty-five randomly selected nutrition program cash disbursements that occurred during the fiscal year, we noted one instance in which the cost may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 1979. The cost was a program expense for donuts for a Food Service meeting. Food for internal meetings is not considered a public purpose expense by the state of Iowa. We recommend that the District should discontinue charging meals or snacks for internal meetings.

Additionally, when testing two monthly submissions to the state for breakfast and lunch meal claims, we noted discrepancies resulting in the total meals claimed being more than the meals documented on the dining system reports for both months selected. The total meal claims over-claimed were overall immaterial to the program, however, there was no documentation kept to backup any adjustments made to meal counts after the system's initial count. We recommend that if there is ever an adjustment made to these meal claims after the initial count in the system that the District keep documentation of this to ensure that they are correct.

Capital Assets

- 1) The District's asset listings are currently maintained within an excel spreadsheet which is manually maintained and rolled forward each year to calculate depreciation. This manual process increases risk of error that could potentially be material. We recommend the District consider using specialized capital asset software that calculates depreciation annually and provides year-end reporting capabilities.
- 2) With the adoption of GASB Statement No. 87, *Leases* and GASB Statement No. 96, *Subscription-Based Information Technology Arrangements*, the GASB issued an Implementation Guide that discusses the need to reconsider capitalization thresholds. The Guide clarifies that the District should capitalize assets whose individual acquisition costs are less than the threshold for an individual asset if those assets in the aggregate are significant. We recommend the District consider amending their capitalization policy to include a threshold for assets purchased in aggregate, such as classroom furniture, computers, or intangible assets.

Early Retirement

- 1) The Board has approved an early retirement policy. However, supplemental benefit packages including payout items and percentages for early retirement are determined in the final early retirement policy distributed to employees and not specifically approved by the Board of Education. Additionally, packages that were presented to the employees differed from the Board approved early retirement policy accessible on the District website. For 2023 early retirees, the amount offered included a cash in lieu provision and sick day payout that resulted in \$870,324 increased liability from the board policy. For 2024 early retirees, the amount offered included a vacation, sick and cash in lieu provision that resulted in \$389,019 increased liability from the Board policy. We recommend that annually, early retirement policies with full detail about benefits and projected cost of the program should be presented to and approved by the Board of Education and subsequently documented.
- 2) Payouts for early retirees in fiscal year 2024 included vacation and compensation time, but no documentation or appropriate approval for these payouts as early retirement from the Management Fund was maintained. We recommend all policies regarding early retirement payouts should be presented to and approved by the Board of Education and subsequently documented.

This communication is intended solely for the information and use of management, the Board of Education, federal awarding agencies and pass-through entities and is not intended to be and should not be used by anyone other than those specified parties.

Bohnsack & Frommelt LLP

East Moline, Illinois
June 10, 2026